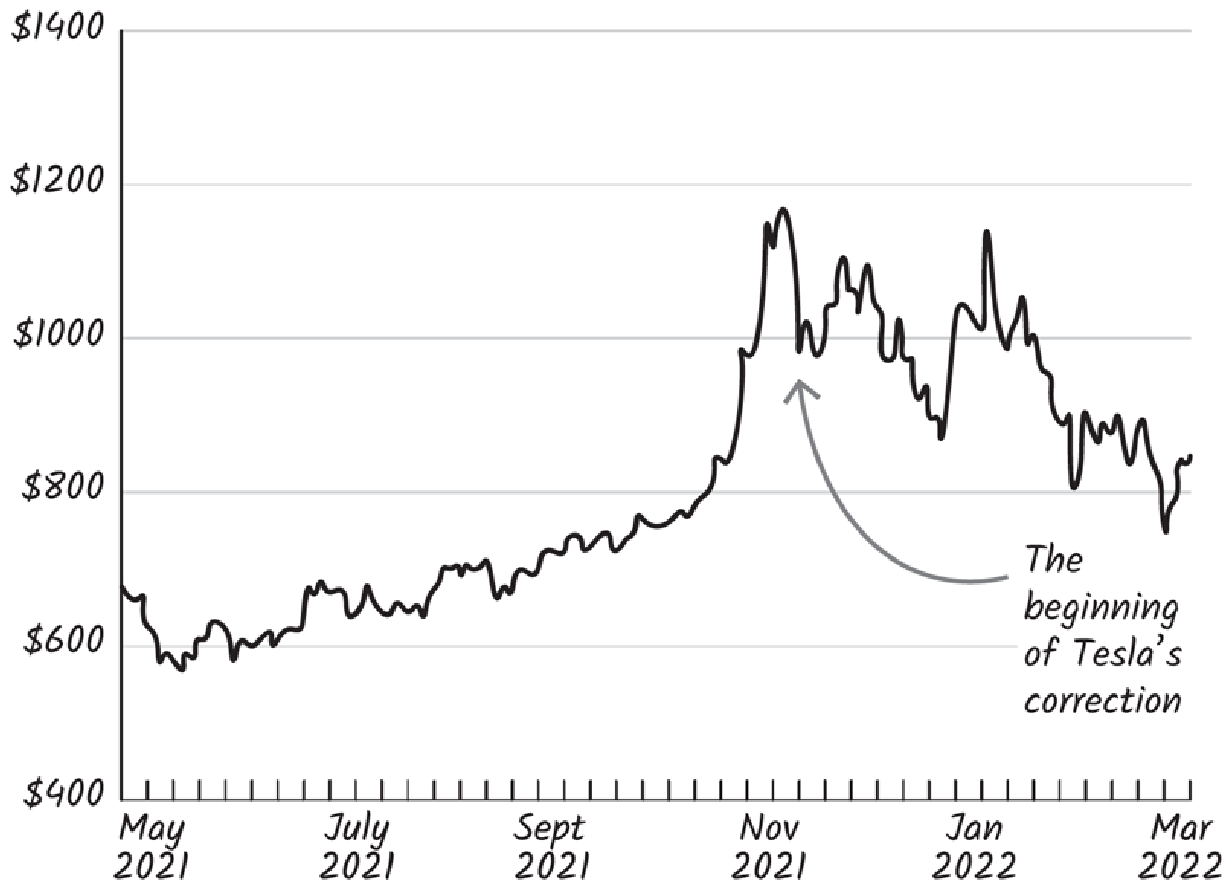

Figure 2.2: Tesla shares dropping in 2021

Unfortunately, as many investors of the time know, in November 2021 Tesla's shares finally began to fall into a correction.

A correction is when the prices of the stocks begin to fall because everyone wakes up and realises around the same time that they've been paying too much. Corrections are different to crashes, by the way. In a correction, prices only fall around 10 per cent. In a crash, prices fall more than 10 per cent.

On 9 November alone, Tesla stock fell 12 per cent. Investors in training who did their research would have noted the warning signs that Tesla was an overpriced share. You see, Tesla shares were forming what is called a speculative bubble. This is when shares are being bought not because they're a good choice, but rather driven by greed and the assumption that the price of those shares 'will never drop'. Clearly they hadn't taken on Bieber's advice to 'never say never'. And spoiler alert, there would be more